governments and the fiscal commitments of the Central government, due consideration will be given to the above recommendations.'

The Commission had also recommended a fiscal consolidation roadmap for states and higher limit for net borrowings of 4 per cent of the gross state domestic product (GSDP) for financial year 2021–22, 3.5 per cent for 2022–23 and to be maintained at 3 per cent of GSDP from 2023–24. The Commission had also recommended an additional annual borrowing space of 0.5 per cent of GSDP for the period 2021–22 to 2024–25 for the power sector based on a performance criterion. The government accepted 'in principle the recommendations in respect of the quantum as a per cent of GSDP of net borrowing ceilings for the States'. However, the Action Taken Report stated, 'other recommendations related to the fiscal road map for the States and amendments to the FRBM Act will be examined separately'.

The government did not, in the Budget 2021–22, except the health sector grants, deliver sector-specific and state-specific grants to the states. The additional borrowing space is also more likely to be used to fund states' investments in public-sector power companies and to pay their bills to the central agencies and private sector.

The Government Continues Diluting the Devolution Pool for Reducing Effective Share of States

The Fifteenth Finance Commission recommended 'retaining the vertical share of 41 per cent of the divisible pool of taxes for the States during the award part of this Commission'.

The 'divisible pool' is the most critical part for operationalizing recommendations regarding share of states in central taxes. Article 270 of the Constitution, after the Eightieth Constitutional Amendment, defines the divisible pool. It prescribes that 'all taxes and duties referred to in the Union List', 'except the duties and taxes referred in articles 268 and 269' and 'surcharges on taxes and duties referred to in article 271' and 'any cess